Business ownership

Every type of business has to choose an ownership structure. Although there are variations globally, most countries offer similar types of legal entities, from a single-person private enterprise to a massive organization trading on a stock exchange. There are three key considerations: how big the venture is expected to grow; the complexity of financial recording, management, and reporting that the proprietor is willing to take on; and the amount of liability the owner is willing to accept.

Small and simple

- A sole proprietorship or partnership is simple to set up and requires little capital.
- One or more owners conduct business as a legal entity.
- Owners are personally liable for business debts. *See pp.14–15.*

Private companies

- More complex to set up and run, a private company is a legal entity separate from its owner or owners.
- The company structure means the owners are not usually personally liable for business debts.
- Private companies are owned by shareholders, who are often the company's managers. *See pp.16–19.*

Public companies

- Companies that go public are large businesses, and they have many legal and financial reporting obligations.
- The general public and other institutions can buy shares in public companies.
- The public company structure is good for a major capital injection, allowing the business to expand. *See pp.16–19.*